Sales for the third quarter of $335.7 million compared to $324.0 million for 2003, while year-to-date sales of $970.8 million compared to $945.5 million last year. Earnings from operations for the third quarter increased to $29.0 million from $16.7 million last year, and year-to-date were $71.8 million compared to $46.2 million last year before restructuring costs. Results in 2003 were impacted by a strike at one of the Company's distribution centres, resulting in additional costs of $4.8 million in the third quarter ($7.4 million in the first nine months of 2003). Excluding this impact, earnings from operations before restructuring costs for the third quarter and year-to-date increased 35% and 34% respectively from last year.

Net earnings for the third quarter increased to $19.0 million ($0.75 per share), compared to $11.3 million ($0.44 per share) last year. Year-to-date net earnings were $47.4 million ($1.86 per share), compared to $23.8 million ($0.95 per share) last year.

All year-to-date earnings from operations comparisons exclude $7.4 million of restructuring costs in the first quarter of 2003 in the Fresh Bakery. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Interest expense for the third quarter increased to $2.1 million from $1.8 million last year but was lower for the year-to-date at $5.0 million compared to $6.5 million last year. As outlined in note 4 to the consolidated interim financial statements, the Company has fixed approximately 70% of its exposure to short-term interest rates. As a result, the Company is now paying higher interest rates in the short term. Management believes this is prudent and that the Company has positioned itself to pay attractive rates in the long term. The effective tax rate for the third quarter increased to 29% from 25% last year, due to rate differences in foreign jurisdictions.

Cash flow from operating activities for the third quarter increased to $32.1 million from $28.5 million last year. Year-to-date cash flow from operating activities of $93.0 million increased significantly from $19.1 million last year due to higher earnings and improved working capital performance. Contributing to this improvement in working capital was a $20 million increase in the Company's accounts receivable securitization program in the first half of 2004. Capital expenditures for the quarter of $19.9 million included initial payments related to a major expansion at the Company's bagel plant in the U.K.

FRESH BAKERY

(fresh bakery products; specialty fresh pasta and sauces)

Fresh Bakery sales for the third quarter increased 5% to $242.1 million from $230.9 million last year, and year-to-date were $687.3 million compared to $662.6 million last year. Earnings from operations increased 109% to $19.5 million from $9.4 million last year, and year-to-date were $46.4 million compared to $28.3 million last year.

The Fresh Bakery operations continued to perform extremely well in spite of reduced carbohydrate diets, benefiting from a focus on more nutritious bakery products, and a sales mix that favours higher value-added product lines as consumers shift their buying patterns from white bread products to higher health products such as whole grains.

Sales volumes in the third quarter, both in the Company's operations and the industry, indicate that the negative impact on white bread of low carbohydrate diets may be declining, although there continues to be a trend towards increased consumption of whole grain and higher value products. Against this backdrop, the Fresh Bakery operations increased earnings, largely through improved sales mix and price increases which largely offset significant rising input costs. Strong sales of value-added products including whole grain, organic and specialty breads, and *Dempster's Stays Fresh* bread contributed to increased margins for the quarter. A national rollout of *Dempster's Healthy Way Organics*, including *100% Stone Ground Whole Wheat* and *14 Grain* breads, was completed in the third quarter, reflecting the Company's continuing investment in whole grain premium bakery products.

Frozen Bakery

(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)

Frozen Bakery sales for the third quarter increased slightly to $93.6 million compared to $93.1 million last year, while year-to-date sales were $283.5 million compared to $282.9 million last year. Earnings from operations increased 29% to $9.5 million from $7.3 million last year, and year-to-date increased to $25.4 million from $17.9 million last year.

The U.K. bakery operations produced strong results in the quarter, from increased volumes in the U.K. and initial sales into Europe. An expansion at the bagel plant in Rotherham, Yorkshire will be commissioned in early 2005 to increase production capacity. The North American Frozen business benefited from increased food service sales in the third quarter, although sales and volumes were largely consistent with last year due to a weaker retail market.

In both the fresh and frozen businesses, cost reduction continues to be a significant focus and contributed to results, particularly in eastern Canada where synergies from recent acquisitions and factory consolidations are being realized. Rising flour, packaging and energy costs continue to place cost pressure on the bakery operations, however, both the fresh and frozen businesses continue to manage rising input costs through price increases.

Other Matters

The Company declared a dividend of $0.06 per share payable on January 4, 2005 to shareholders of record on December 17, 2004.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the eleven interim periods to September 30, 2004 (in millions of dollars except per share information).

2004	March 31	June 30	**Sept 30**	Dec 31	Total
Sales	$ 305	$ 330	**$ 336**		$ 971
Net earnings for the period	12.5	15.8	**19.1**		47.4
Earnings per share (basic)	$ 0.49	$ 0.62	**$ 0.75**		$ 1.86
Earnings per share (diluted)	$ 0.48	$ 0.61	**$ 0.73**		$ 1.82
Cash flow from operating activities	$ 28.4	$ 32.5	**$ 32.1**		$ 93.0
2003					
Sales	$ 309	$ 313	**$ 324**	$ 317	$ 1,263
Net earnings for the period	3.3	9.2	**11.3**	11.8	35.6
Net earnings for the period before restructuring costs	8.1 4	9.2	**11.3**	11.8	40.4
Earnings per share before restructuring costs	$ 0.34	$ 0.36	**$ 0.44**	$ 0.47	$ 1.61
Earnings per share (basic)	$ 0.14	$ 0.36	**$ 0.44**	$ 0.47	$ 1.42
Earnings per share (diluted)	$ 0.14	$ 0.35	**$ 0.44**	$ 0.46	$ 1.39
Cash flow from operating activities [1]	$ (3.4)	$ (6.1)	**$ 28.5**	$ 36.0	$ 55.0
2002					
Sales	$ 231	$ 256	**$ 273**	$ 269	$ 1,029
Net earnings for the period	6.4	10.0	**11.9**	10.4	38.7
Earnings per share (basic and diluted)	$ 0.30	$ 0.47	**$ 0.55**	$ 0.48	$ 1.80
Cash flow from operating activities	$ (1.2)	$ 21.6	**$ 49.2**	$ 22.6	$ 92.2

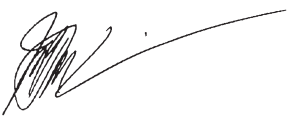
[1] Amounts have been changed where required to conform with 2004 presentation of cash flows.

Forward-looking Statements

This document contains forward-looking statements, which are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, these statements. Refer to the Company's Annual Report, management information circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

For the Board of Directors,

Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

October 27, 2004